Basics of Management (Lesson 2)



Outline

- Definition of Management
- Functions of Management
- Leadership
- Motivation
- Team Management

Management Defined…

- The attainment of organizational goals in an **effective** and **efficient** manner through **planning, organizing, leading,** and **controlling** organizational resources (Daft, 2012).

- Management is the process of **planning, organizing, leading,** and **controlling** the efforts of organization members and of using all other organizational resources to achieve organizational goals (Stoner and Freeman,2009).

What Is Management? (Cont'd…)

- Applies to and through any kind of organization
- Applies to Managers at all levels
- Concerned with **"Doing the right things right at all times"**
- **Effectiveness:** Achievement of objectives. (**Doing the Right Things**); *Attaining organizational goals*
- **Efficiency:** Achieving those objectives with least amount/ sacrifice of resources.(**Doing Things Right**); *Getting the most output for the least inputs*

Effectiveness and Efficiency



Management Functions

Four Functions of Management

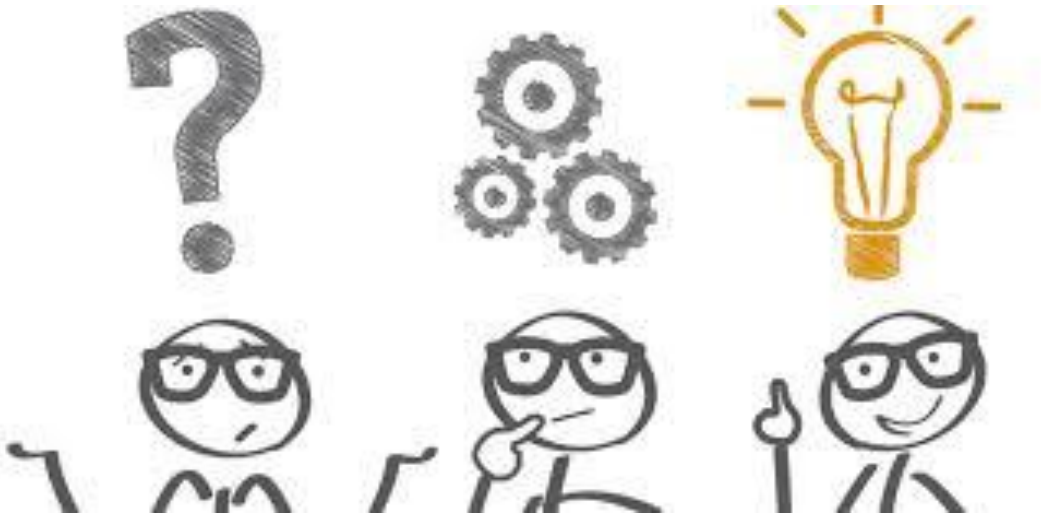
Figure 1.2



©The McGraw-Hill Companies, Inc., 2000

Management Functions

Planning



- **Planning**: Setting organizational goals and how best to achieve them

Planning act as a guidance for future

e.g

- What is the **sales target for next year ?**
- When will be the **next product launch**?
- Should we **open a new branch? When? How?**

Hierarchy of Aims



We will convert Sri Lanka to a developed nation by 2048 - President



Picture by Sulochana Gamage.

President Ranil Wickremesinghe said that Sri Lanka will work in a planned way to build a powerful, rich and strong country by 2048.

Decide where the organization should be in X years of time

What is a “Vision” ?

- **Vision** is the all-inclusive general goal towards which the entire organizational efforts and resources are directed
- It is the vivid aspiration or the ultimate aim that the entire organization hopes to realize in the very long future
- Vision describes in vague terms what the type of organization it wishes to build in the very long future

1. What Do We Want to Become?

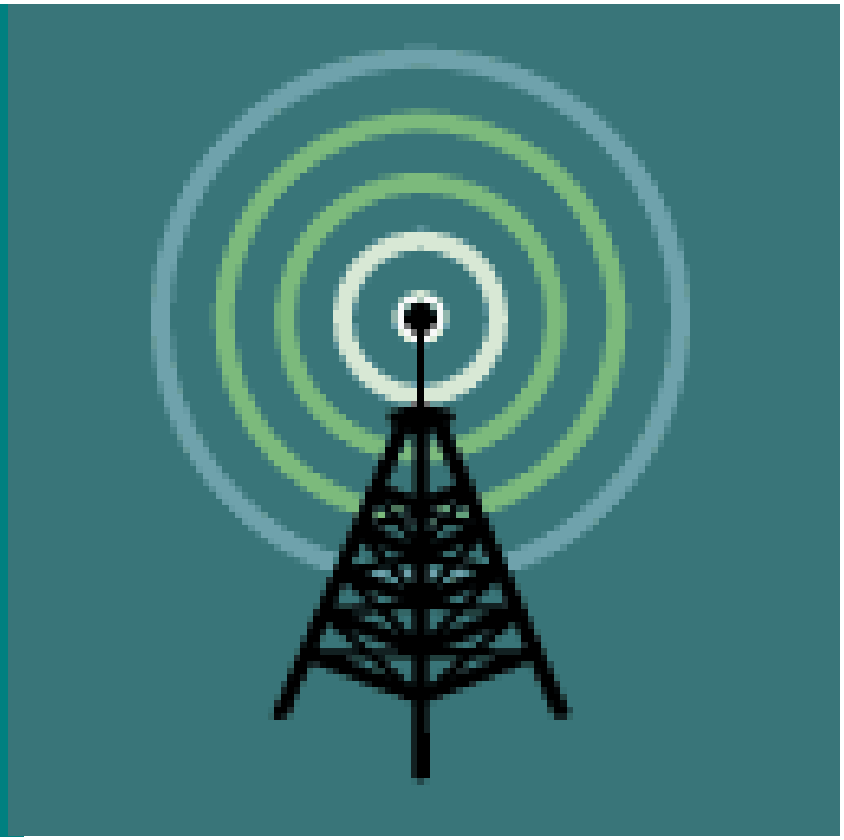
General Motors

Is to be the world leader in transportation products and related services.



Vision – Sri Lanka Telecom

"All Sri Lankans seamlessly connected with world-class information, communication and entertainment services."



What is a “Mission” ?

- Definition of a business in its **scope** and **philosophy**

(Philosophy – The set of principles and beliefs that a company is working toward to achieve success.)

- The fundamental, unique **purpose** sets a business apart from other firms of its type and identifies the **scope** of its operations in product and market terms

Mission – Sri Lanka Telecom

"Your trusted and proven partner for innovative and exciting communication experiences delivered with passion, quality and commitment"





Vision – Unilever

"To make sustainable living commonplace. We believe this is the best long-term way for our business to grow."



Mission – Unilever

"To add vitality to life. We meet everyday needs for nutrition, hygiene and personal care with brands that help people feel good, look good and get more out of life."



OUR VISION

To advance knowledge, foster and promote innovation to enrich lives & broaden horizons

OUR MISSION

To create a learning and research environment with best possible resources for our students and staff to be innovative and dedicated to excellence and to produce graduates with strong analytical, problem solving and communication skills.

OUR OBJECTIVES

Education & training of professionals at a high level of excellence in the fields of IT, business and engineering assisting and promoting enterprises, innovators and start-up companies with the necessary expertise to achieve business objectives provision of consultancy services and software services to public and private sector enterprises of Sri Lanka at a reasonable cost conduct and promotion of research & development leading to specialized applications, services and innovative technology products. Expanding horizons in the fields of IT, business and engineering to reach international level

Goal

- **General statements of future aims which represent the main core areas of the mission of an organization**



Objectives

- What is intended to achieve, within a defined, medium to a short period of time

- Expected measurable end results or aims of action

Characteristics of Objectives

- Specific
- Measurable
- Achievable
- Rational/Related
- Time Bound

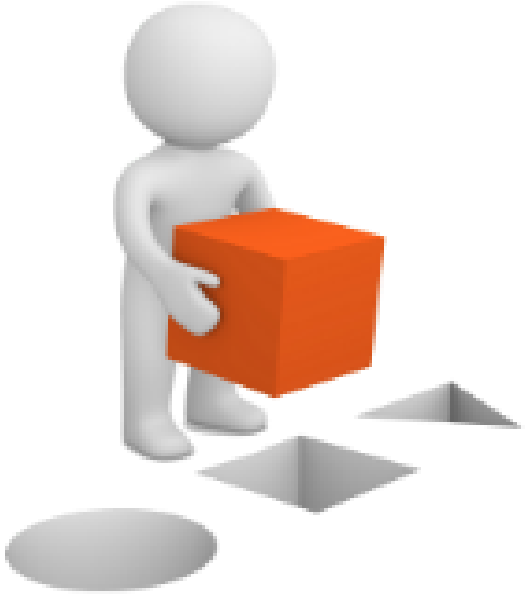
Objectives should be SMART

Difference between Goals and Objectives



Management Functions

Organizing



- Organizing is **coordinating activities and resources**
- Organize people and other resources necessary to carry out the set goals
- Tasks, jobs, positions, duties and responsibilities can be summarized in to the organizational structure

e.g.

- **How many employees** needed to achieve the expected sales target?
- **Who will be responsible** to carry out promotions?
- **How much funds** required for advertising campaign?

Strategic, Tactical and Operational Planning



Scope	Entire organization or major business units	Departments, divisions or smaller business units	Functional areas, teams or individuals
Examples	Developing a new product line, expanding into new markets	Reorganizing a department, streamlining a process	Hiring and training employees, scheduling production runs
Frequency of Review	Periodic (annually or bi-annually)	Ongoing (quarterly or semi-annually)	Frequent (daily or weekly)
Level of Detail	High-level, broad goals	Detailed, specific objectives	Very specific, granular tasks
Involvement of Leadership	Top-level leadership	Middle management	Lower-level management and employees
Level of Risk	High, strategic decisions with long-term implications	Moderate, tactical decisions with shorter-term implications	Low, operational decisions with immediate impact
Degree of Flexibility	Low, as strategic decisions may require long-term commitments	Moderate, as tactical decisions can be adjusted as needed	High, as operational decisions may require immediate adjustments
Level of Coordination	High, as decisions impact the entire organization	Moderate, as decisions impact specific departments or units	Low, as decisions impact specific tasks or activities

Management Functions

Leading



- Leading is simply motivating and managing people of the organization to achieve allocated tasks and responsibilities finally leading to achieve goals.

e.g.

- How the manager can make employees work hard, with **good team spirit?**
- How the manager can **encourage a sales person** who failed to achieve given targets?





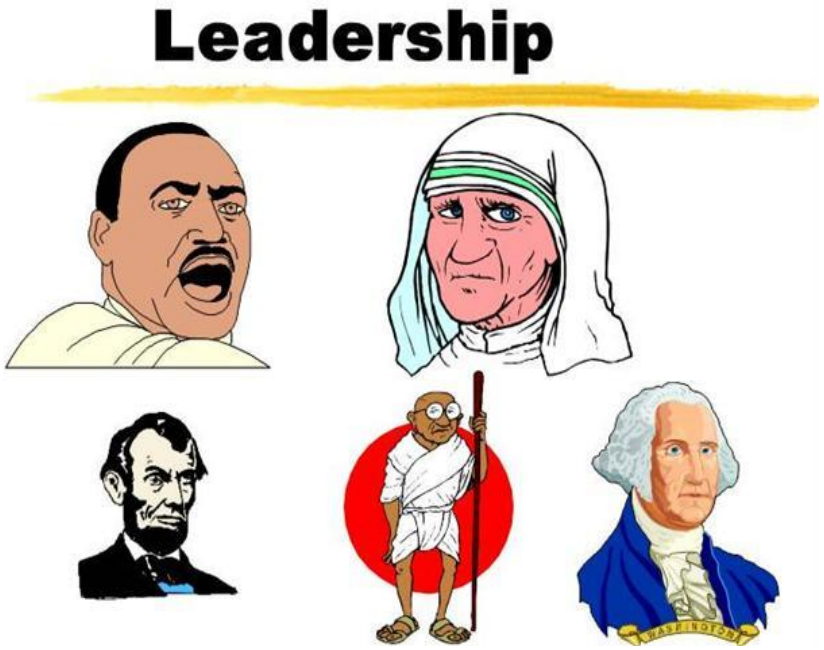
Leadership



Definition Leading/ Leadership

A leader is a person who can influence others and who has managerial authority
(Stephen P. Robbins)

Leadership is the process of influencing a group towards the achievement of goals
(Stephen P. Robbins,)



Leadership Theories

- Trait Theory
- Behavioral Theory
- Charismatic leadership



Trait Theory

- **“Leaders are born rather than made**.”
- People are born with **inherited traits**
- Some traits are particularly suited to leadership
- People who make good leaders have the **right combination of traits**

Behavioral Theories

- **Leaders can be made, rather than born**
- Behavioral theory researchers tried to determine what effective leaders do –
  - how they **delegate tasks**
  - how they **communicate** with and try to **motivate their followers** or employees
  - how they **carryout their tasks**

Behavioral Theories

Kurt Lewin - Concentrated on three leadership styles

- Autocratic
- Participative
- Laissez – faire



Behavioral Theories – Kurt Lewin

The autocratic Leader

- tends to make decisions **without** involving subordinates
- spells out work methods
- sometimes give **negative feedback**

The participative Leader

- Includes the **group in decision making**
- Consults the subordinates on proposed actions and **encourages participation from them**.
- let the group determine work methods and use **feedback** to help subordinates

Behavioral Theories – Kurt Lewin

Laissez faire Leaders

- Use their power **very rarely**
- Give the **group complete freedom**
- Allows subordinates to set their goals and the means for achieving them
- **Avoid giving feedback**

Charismatic Leadership

- Form of international attraction that inspires support and acceptance

- An enthusiastic, self-confident leader whose personality and actions influence people to behave in certain ways.



Charismatic Leader

- **Characteristics**:
  - Have a compelling vision
  - Ability to articulate that vision
  - Demonstrate consistency and focus
  - Know their strengths and capitalize on them
  - Strong self confidence and make others also confident





Motivation

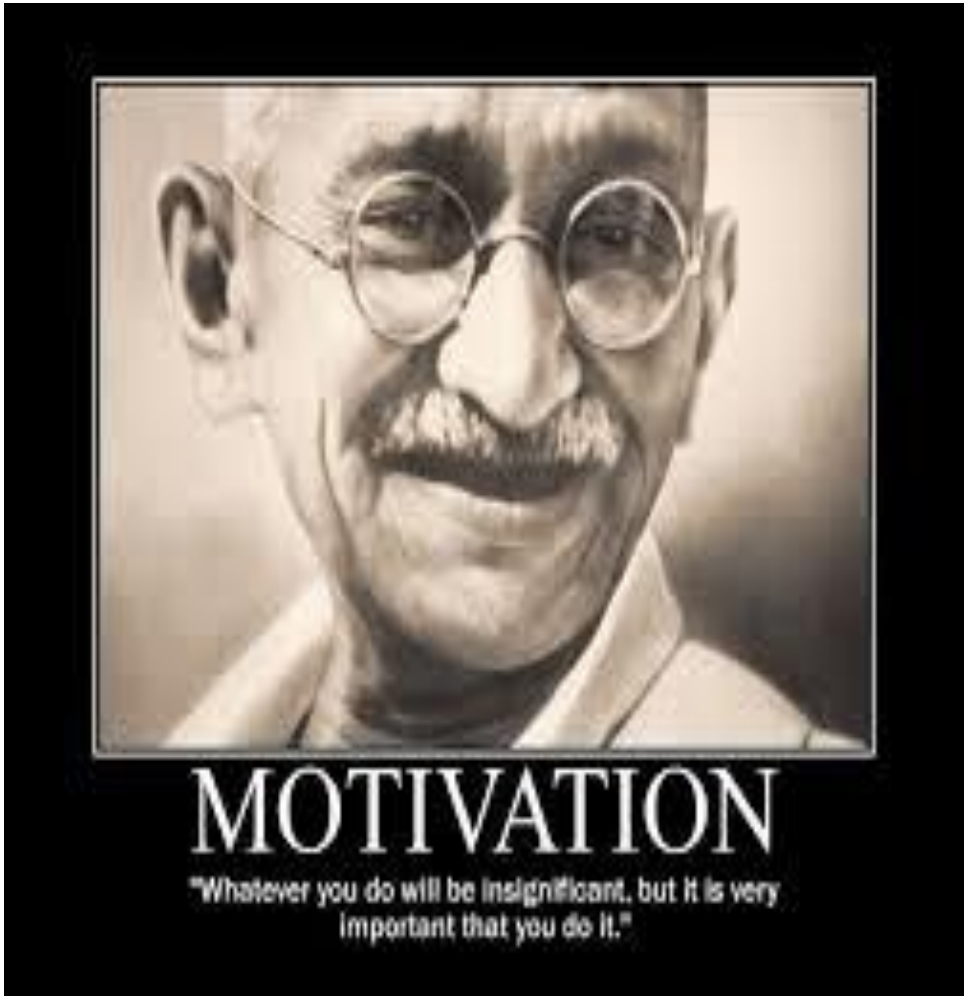


Motivation & Human needs

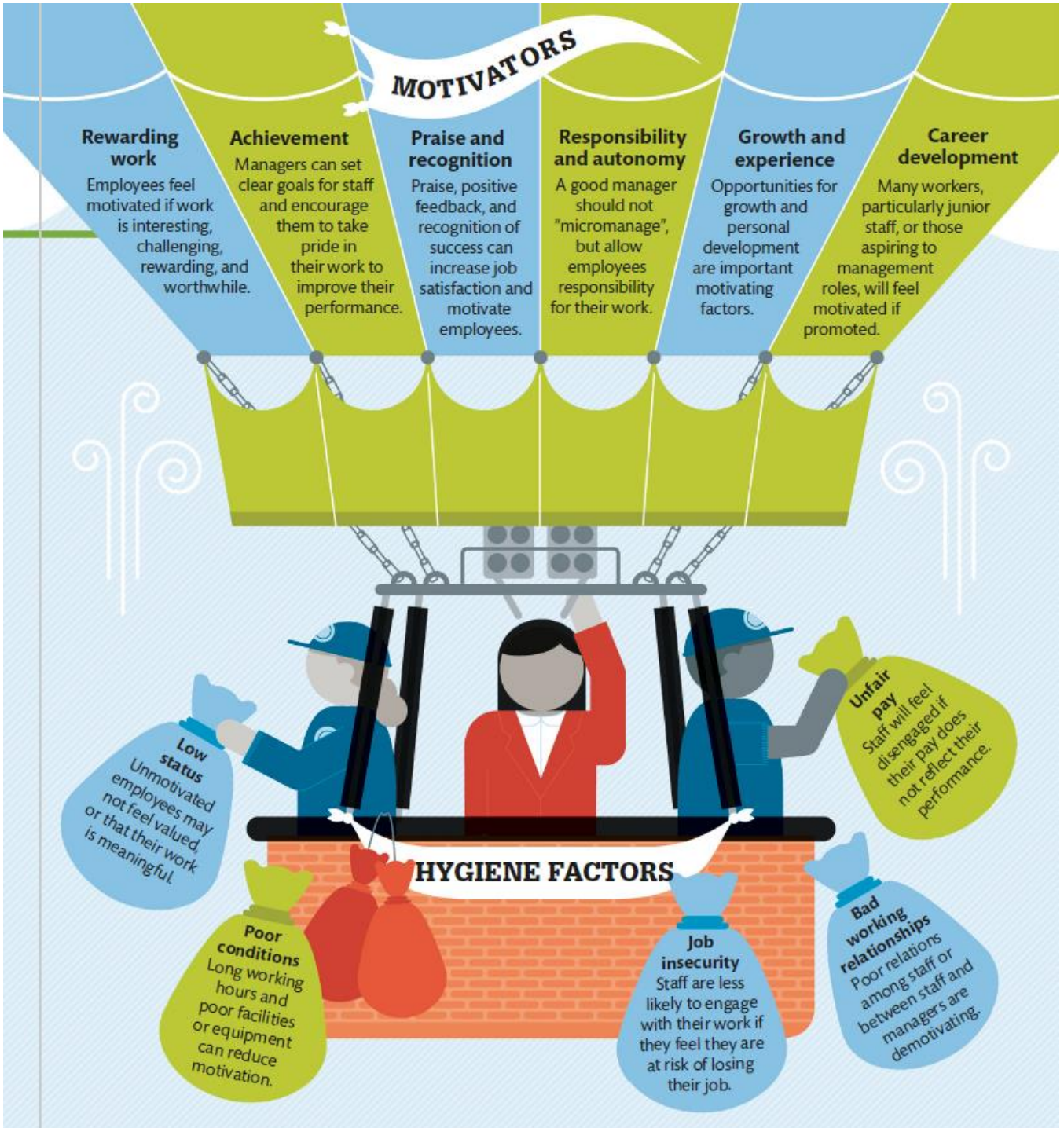


- Needs and wants are always related with motivation
- A rational person always seek to satisfy one or more of their needs
- So they try to find a way to satisfy their need

Motivation Defined



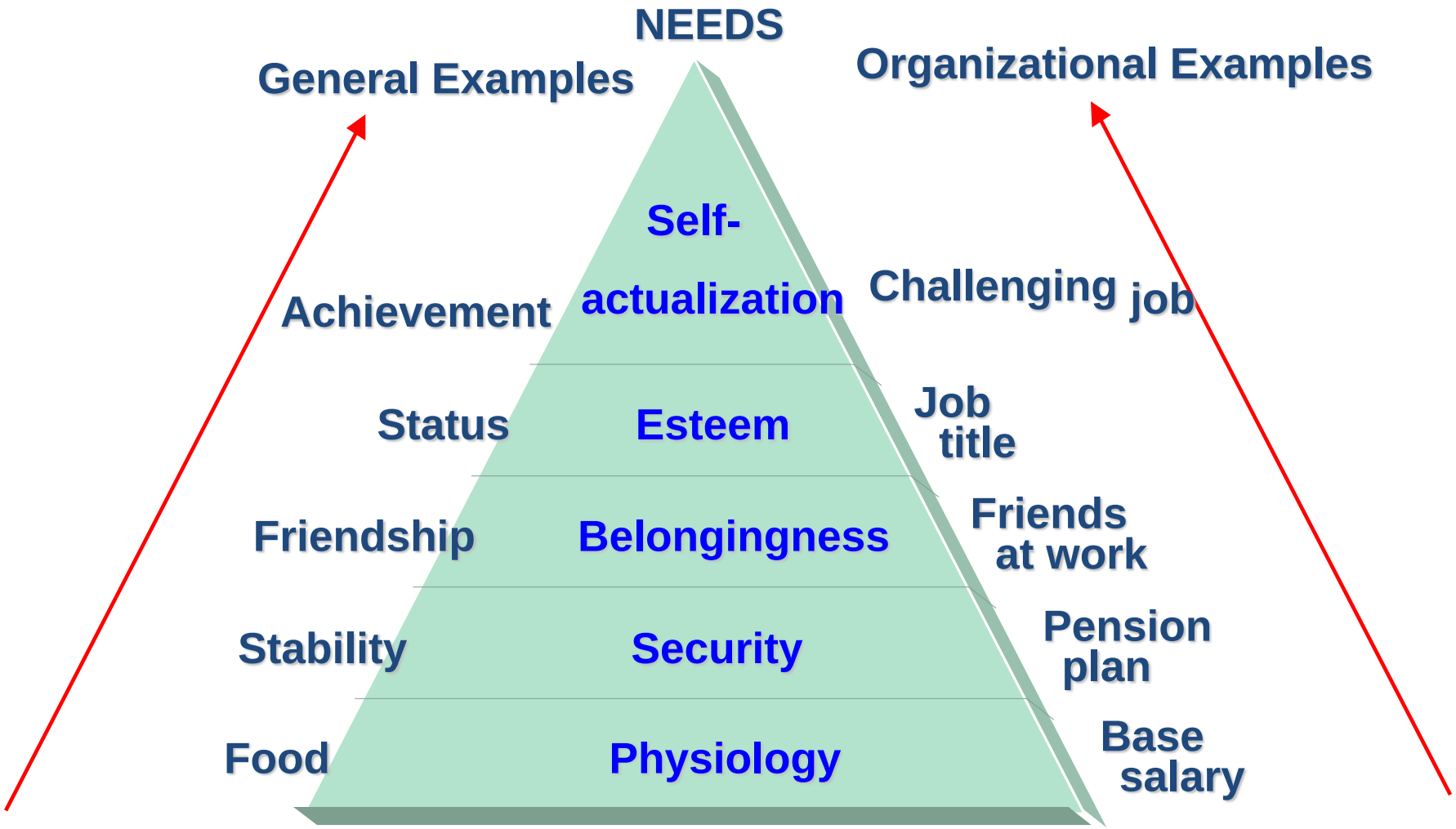
The driving force within individuals by which they attempt to achieve a goal in order to fulfill some need or expectation.


MOTIVATORS
Rewarding work
Employees feel motivated if work is interesting, challenging, rewarding, and worthwhile.
Achievement
Managers can set clear goals for staff and encourage them to take pride in their work to improve their performance.
Praise and recognition
Praise, positive feedback, and recognition of success can increase job satisfaction and motivate employees.
Responsibility and autonomy
A good manager should not "micromanage", but allow employees responsibility for their work.
Growth and experience
Opportunities for growth and personal development are important motivating factors.
Career development
Many workers, particularly junior staff, or those aspiring to management roles, will feel motivated if promoted.
HYGIENE FACTORS
Low status
Unmotivated employees may not feel valued, or that their work is meaningful.
Unfair pay
Staff will feel disengaged if their pay does not reflect their performance.
Poor conditions
Long working hours and poor facilities or equipment can reduce motivation.
Job insecurity
Staff are less likely to engage with their work if they feel they are at risk of losing their job.
Bad working relationships
Poor relations among staff or between staff and managers are demotivating.

Maslow's Hierarchy of Needs

- **Maslow presented his theory based on certain assumptions:**
- Individuals are perpetually(forever, continuously) wanting animals.
- Only unsatisfied needs are capable of motivating behavior.
- Five levels of needs could be arranged in a hierarchy.
- Once the lower level needs are been satisfied , individuals will be motivated to achieve higher level of needs.

Hierarchy of Needs Theory (Abraham Maslow)



Self-actualization
Having grown and developed on a spiritual level, a person can achieve a sense of personal fulfilment.

Esteem
When a person is recognized by others for their achievements, they begin to feel good about themselves, helping to build self-esteem.

Love and belonging
People like to feel as though they are part of a group – they need to build close relationships and have a sense of being accepted and cared for.

Safety
Having a secure home to shelter in and a stable work environment help to make a person feel safe in the company of strangers or acquaintances.

Physiological
A person's most basic needs relate to survival: having air to breathe, food, water, warmth, sleep and somewhere to shelter, and being able to reproduce.

5 **Life goals**
Provide guidance, foster career paths, and take real interest in each employee as a person.

4 **Well done!**
Encourage employees and reward good work with praise and recognition.

3 **Build morale**
Cultivate a positive attitude within the team, encourage diversity and personal friendships.

2 **Secure future**
Pay employees adequately and provide a safe, stable, and clean working environment.

1 **Comfort**
Offer employees breaks, reasonable working hours, and comfortable conditions.



Team Management



Stages of Team Development

- Forming Stage
- Storming Stage
- Norming Stage
- Performing Stage



Stages of Team Development

Forming Stage : Building awareness

- People act in a formal manner (anxious)
- Feelings and weaknesses covered up
- No shared understanding for task
- Some insensitive to others views

Some Concerns:

- Senior staff (Leaders) taking control



Stages of Team Development

Storming Stage: Conflicts, disagreements, resistance



- Personal issues become apparent

  (3 psychologies – Critical Parent, Child, Adult)
- Concern for other members views, values
- Ineffective confrontation
- Dissatisfaction



Some Concerns:

- Team too disjoined to reach the next stage
- Just acting out the roles, no real involvement

Stages of Team Development

Norming Stage: Settling down having reached common understanding, cooperation, collaboration

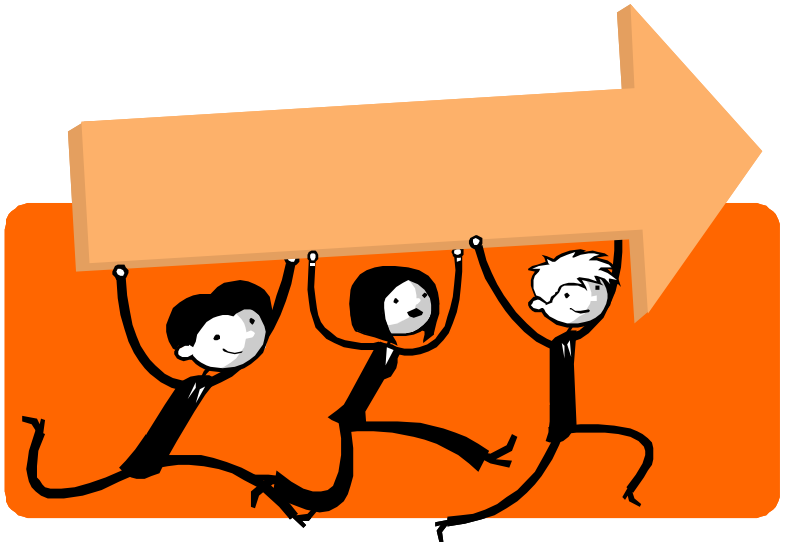
- Confidence and trust grows
- A systematic and open approach develops
- Consider other options and valuing of other's skills
- Clarification of purpose and objectives
- Prepare plans and measure progress



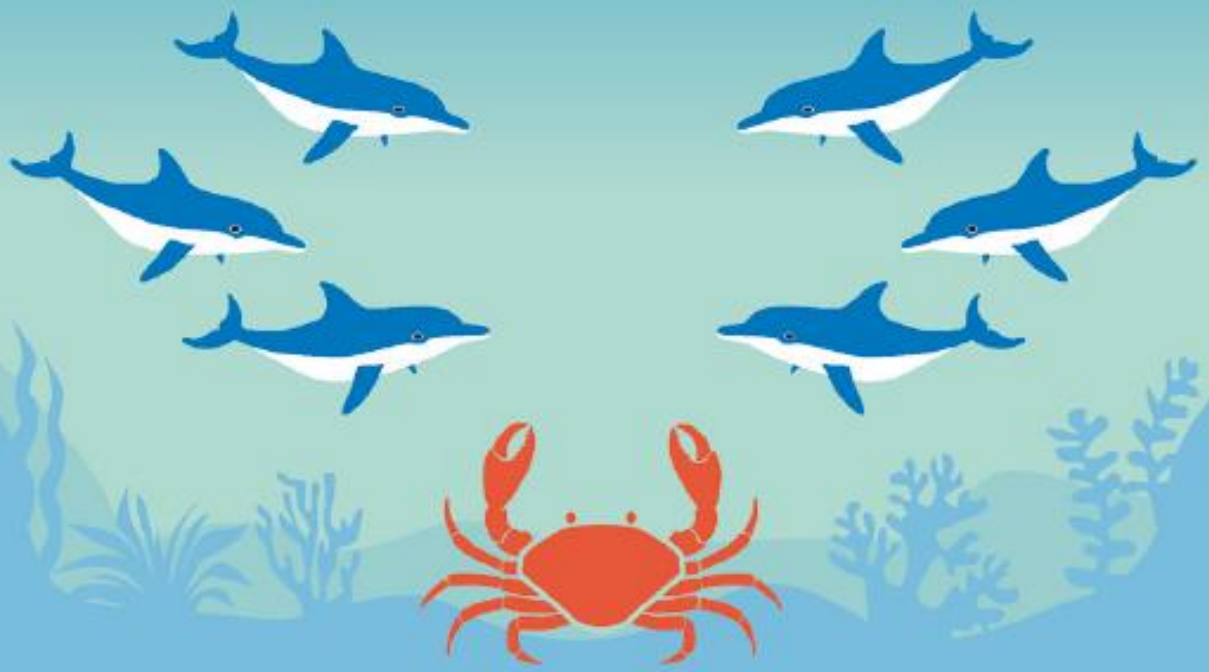
Stages of Team Development

Performing Stage: Reaching team goals

- Focused
- Everyone is involved
- Flexibility (no resistance)
- Leadership is given relevant to task



FORMING



Individuals come together and get to know one another. They build trust and learn about the task ahead, including challenges and opportunities. Managers should:

- **Break the ice** with a social gathering.
- **Consider trust-building** exercises.
- **Provide a clear brief** with defined roles.

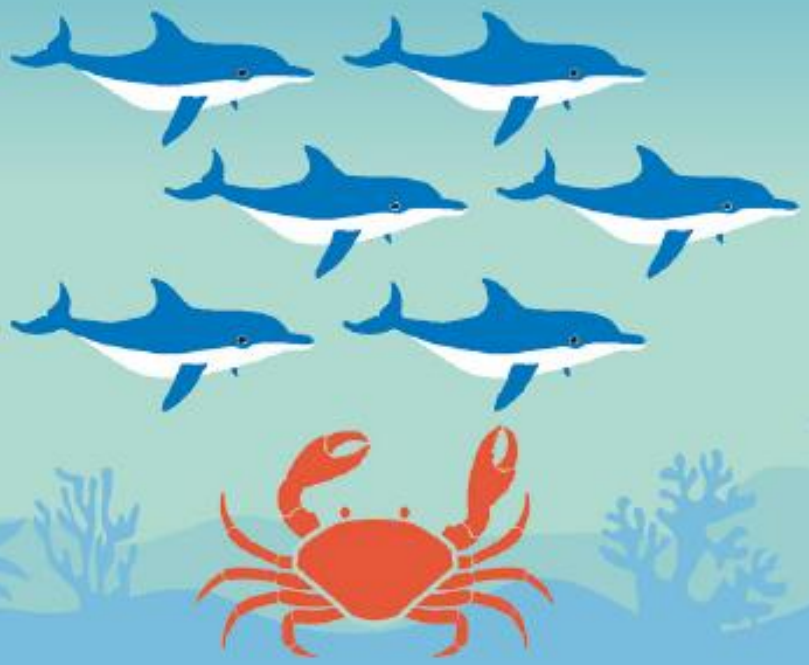
STORMING



Relationships develop, members begin to voice ideas, and some may jostle for power. In this phase, the team needs strong leadership from managers, who should:

- **Identify potential conflict** and intervene sensitively.
- **Provide clear leadership** to stay fixed on goals.
- **Be prepared to support** individual members.

NORMING



The team finds equilibrium as members work together smoothly, each taking responsibility for their role and staying focused on success. Managers should:

- **Hold regular feedback** sessions to check progress.
- **Be alert to complacency** by noticing its early signs.
- **Encourage** and reward small successes.



PERFORMING

Team members are now seizing the initiative and taking greater responsibility. As the team now requires less direction, managers may:

- **Refrain from interfering** unnecessarily and let the team get on with their work.
- **Permit a degree of challenge**; this is not a problem if members respect one another's opinions, and it can lead to innovation.
- **Identify talents in individuals** who could be assisted in their career-path progression.

Management Functions

Controlling



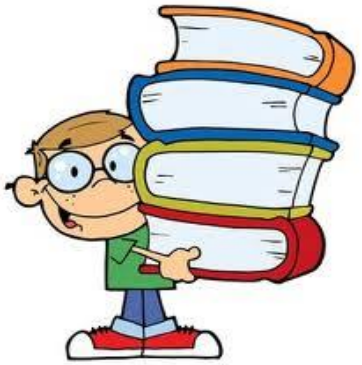
Management Functions –Controlling

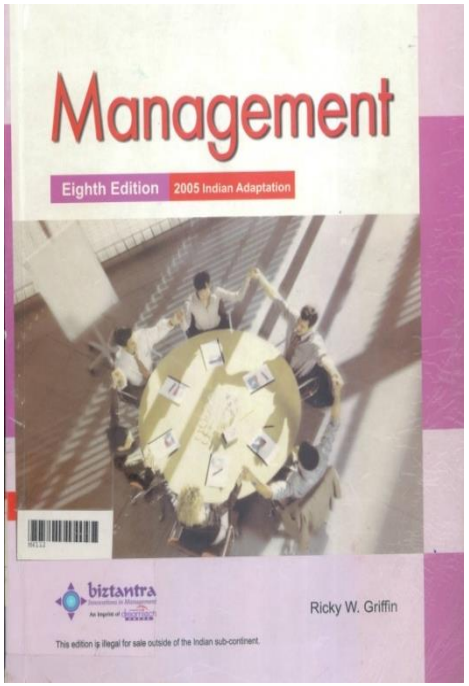
- Controlling is monitoring the organizational progress toward its goals.
- Managers need to ensure that the people functions/perform in a manner to achieve set goals.

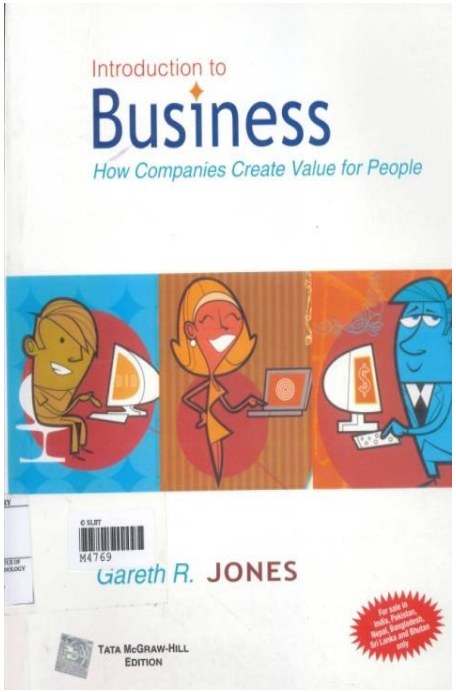
e.g.

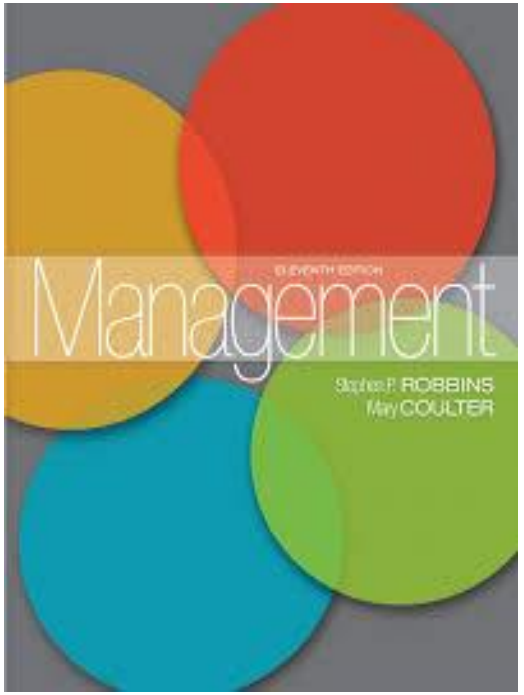
- Have the **sales person achieved the targets?**
- If not why? What are the **reasons** for the deviations ? **What are the corrective actions** required?

References




Management
Eighth Edition
2005 Indian Adaptation
biztantra
Ricky W. Griffin
This edition is illegal for sale outside of the Indian sub-continent.


Introduction to
Business
How Companies Create Value for People
Gareth R. JONES
TATA McGRAW-HILL
EDITION


Management
Stephen P. ROBBINS
Mary COULTER